

BE
 BE N/A

Hold	\$269.07 ▼ 12.97%	12M Price Target \$310.00	52-Week Range \$21.52 – \$351.28	Market Cap \$76.54B
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BE: Profit-Taking Hits AI Power Darling After Massive Run

WHAT HAPPENED

- BE got smoked for nearly 13% today on lighter volume — classic profit-taking after a parabolic run (stock was at \$21 a year ago, hit \$351 last week). When a name runs 15x in 12 months, you don't need bad news to sell off — gravity is enough. The fact that volume dropped sharply (6M vs 11M+ all week) tells me this is mechanical selling, not a fundamental break.
- The whole fuel cell complex is rolling over — FuelCell down 10%, Plug barely hanging on. This is sector rotation, not BE-specific. Money is flowing into defensive sectors (Healthcare +2.8%, Staples +1.3%) which screams "risk-off into month-end/quarter-end."

WHY IT MATTERS

This pullback was inevitable and is actually healthy — you cannot sustain a 15-bagger move without digestion. The real question is whether the AI data center power thesis is intact, and I think it absolutely is: hyperscalers (Microsoft, Google, Amazon) are signing multi-year power deals with Bloom because the grid literally cannot deliver electrons fast enough for AI training clusters. The options market is leaning bearish (P/C ratio 1.09, unusual put buying at \$317.50 strike) which suggests traders expect more downside before stabilization — don't catch the falling knife today. What this means going forward: if BE can hold the \$250-260 zone, the AI power narrative regains control; if it breaks \$230, we're looking at a full retracement toward \$200 where longer-term buyers step in.

POLICY & POLITICAL WATCH

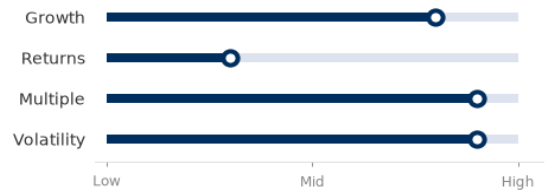
The Trump administration's energy policy is a double-edged sword for Bloom — the "energy dominance" agenda favors natural gas (which Bloom's fuel cells run on) and includes streamlined permitting for data center power, both huge tailwinds. BUT, the rollback of IRA clean energy tax credits under the One Big Beautiful Bill could pressure the hydrogen-fuel-cell side of Bloom's roadmap (the 45V hydrogen production credit is on the chopping block). The key thing to watch: the AI infrastructure executive orders pushing fast-track grid interconnection — every month the grid stays bottlenecked, Bloom's behind-the-meter power solution gets more valuable to hyperscalers.

IS IT EXPENSIVE?

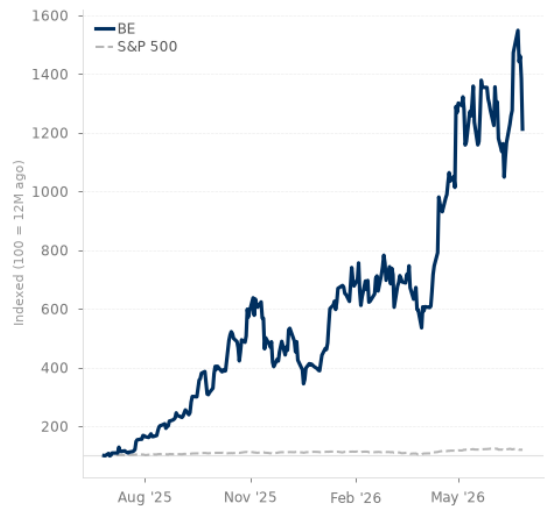
Key Data

Price (USD)	\$269.07
12M Price Target	\$310.00
Upside / (Downside)	+15.2%
Market Cap	\$76.54B
FY2026E Revenue	\$2,150M
FY2027E Revenue	\$2,850M
FY2026E EPS	\$0.15
FY2027E EPS	\$0.55
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$310.00	\$275.00	\$230.00
6 Months	\$360.00	\$290.00	\$210.00
1 Year	\$420.00	\$310.00	\$180.00
2 Years	\$550.00	\$380.00	\$150.00
5 Years	\$800.00	\$500.00	\$120.00
10 Years	\$1200.00	\$650.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.8%) and Staples (+1.3%) — classic defensive rotation, suggests institutions are de-risking into quarter-end. Utilities quietly up 3.4% on the week — that's actually a tell that the "AI needs power" trade is alive, just rotating to safer expressions.

COOLING OFF: High-beta AI infrastructure and fuel cell names are getting hit on profit-taking. Comm Services down 2.6% on the week shows mega-cap tech is wobbling, which is a yellow flag for anything AI-adjacent.

ROTATION WATCH: Money is moving from speculative AI power plays (BE, FCEL, PLUG) into regulated utilities and nuclear names — same thesis, lower volatility. If this rotation continues, BE underperforms even if the story is right.

RELATED PLAY: The second-order trade is independent power producers and nuclear names (VST, CEG, TLN) — they capture the same AI power demand without the fuel cell technology risk. Also data center REITs (EQIX, DLR) benefit from the same trend with way less volatility.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Nuclear + gas generation, riding identical AI power thesis with actual profits and a cleaner regulatory path
- CEG (Constellation Energy): Nuclear PPAs with hyperscalers — the "boring" version of the BE trade that institutions prefer

BE CONTEXT: BE has dramatically outperformed every peer over 12 months (up 15x vs VST/CEG up 2-3x), which means it's the most extended and most vulnerable to rotation. When sector leadership starts to lag, it usually signals the easy money is done — doesn't mean the trend is over, just that gains require more patience.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$240-260 on continued pullback

Time Horizon: 12-24 months

Thesis Invalidation: Data center order book stalls or natural gas/hydrogen policy turns hostile

Hedging: Pair with short FCEL or buy protective puts given binary policy risk